MECHANICAL SUBCONTRACT AGREEMENT

This Mechanical Subcontract Agreement (the "Subcontract") is entered into as of February 2, 2026 (the "Effective Date"), by and between **Harbor Point Construction, Inc.**, a California corporation, California Contractor's License No. 1048862 (Class B), with its principal office at 2210 Riverfront Parkway, Suite 400, West Sacramento, California 95691 (the "Contractor"), and **Delta Mechanical Systems, LLC**, a California limited liability company, California Contractor's License No. 1093317 (Class C-20 and C-36), Department of Industrial Relations Public Works Contractor Registration No. 1000074519, with its principal office at 8845 Elder Creek Road, Sacramento, California 95828 (the "Subcontractor").

The Contractor has entered into a prime contract (the "Prime Contract") with the **Sacramento Unified School District** (the "Owner") for construction of the project known as the **Rosemont Elementary Modernization**, located at 9594 Rosemont Avenue, Sacramento, California (the "Project"). The Project is subject to review and oversight by the Division of the State Architect ("DSA") under DSA Application No. 02-121847.

The Contractor wishes to engage the Subcontractor to perform a portion of the work under the Prime Contract, and the Subcontractor wishes to perform that work, on the terms stated below. In consideration of the mutual promises in this Subcontract, the parties agree as follows.

ARTICLE 1 — DEFINITIONS

1.1 "Architect" means Calloway Brandt Architects, the design professional of record retained by the Owner for the Project, and its authorized consultants.

1.2 "Contract Documents" means the documents listed in Article 3, as they may be modified in accordance with this Subcontract.

1.3 "Final Completion" means the stage at which the Subcontract Work is fully complete in accordance with the Contract Documents, all punch list items have been corrected, all DSA inspections relating to the Subcontract Work have been passed, and all closeout submittals required by Article 12 have been delivered to and accepted by the Contractor.

1.4 "Subcontract Work" means all labor, materials, equipment, tools, supervision, transportation, testing, and services required to complete the work described in Article 2, together with all work reasonably inferable from the Contract Documents as necessary to produce the intended result.

1.5 "Substantial Completion" has the meaning given in the Prime Contract.

1.6 Capitalized terms used but not defined in this Subcontract have the meanings given in the Prime Contract.

ARTICLE 2 — SCOPE OF SUBCONTRACT WORK

2.1 The Subcontractor shall furnish and install the complete heating, ventilating, and air conditioning ("HVAC") systems for the Project as shown and specified in the Contract Documents, including without limitation the work described in Specification Sections 23 05 00 (Common Work Results for HVAC), 23 05 93 (Testing, Adjusting, and Balancing), 23 07 00 (HVAC Insulation), 23 09 23 (Direct Digital Control System), 23 21 13 (Hydronic Piping), 23 31 13 (Metal Ducts), 23 37 13 (Diffusers, Registers, and Grilles), and 23 74 13 (Packaged Rooftop Air-Conditioning Units).

2.2 The Subcontract Work includes demolition and legal disposal of existing HVAC equipment, ductwork, and piping in Buildings A, B, and C designated for removal on the demolition drawings; rigging and crane service for rooftop equipment; equipment curbs and seismic restraints as detailed; condensate drainage to the first point of connection; startup and commissioning support; and owner training.

2.3 The Subcontract Work excludes structural roof framing modifications, line-voltage power wiring to equipment disconnects, roofing patching beyond the equipment curb flashing, and fire alarm duct detectors, except for installation of duct detector housings furnished by others.

2.4 The Subcontractor shall coordinate its work with the work of other trades, attend weekly coordination meetings, and participate in the preparation of coordinated mechanical, electrical, and plumbing shop drawings before fabrication.

ARTICLE 3 — CONTRACT DOCUMENTS

3.1 The Contract Documents consist of this Subcontract, including its Exhibit; the Prime Contract between the Owner and the Contractor, including its general, supplementary, and special conditions; the Project Manual dated October 14, 2025; the drawings listed in the drawing index on Sheet G0.01, DSA-approved revision dated November 20, 2025; all addenda issued before the Effective Date; and all modifications issued after the Effective Date in accordance with Article 9.

3.2 To the extent the Prime Contract applies to the Subcontract Work, the Subcontractor assumes toward the Contractor all obligations that the Contractor assumes toward the Owner, and the Contractor has the same rights against the Subcontractor that the Owner has against the Contractor.

3.3 If the Contract Documents conflict, the more stringent requirement or the greater quantity or quality governs unless the Contractor directs otherwise in writing. The Subcontractor shall promptly report in writing any conflict, error, or omission it discovers.

3.4 The Subcontractor acknowledges that it has reviewed the Contract Documents, visited the Project site, and examined existing conditions to the extent reasonably accessible before signing this Subcontract.

ARTICLE 4 — SUBCONTRACT SUM

4.1 The Contractor shall pay the Subcontractor, for full and complete performance of the Subcontract Work, the sum of **Four Hundred Twenty-Eight Thousand Dollars ($428,000.00)** (the "Subcontract Sum"), subject to additions and deductions by written change order under Article 9.

4.2 The Subcontract Sum includes all applicable taxes, fees, permits not furnished by the Owner, prevailing wage costs, fringe benefits, and payroll burdens.

4.3 The Subcontract Sum is allocated in the Schedule of Values attached as the Exhibit. The Schedule of Values shall be used as the basis for progress billings and shall not be revised without the Contractor's written approval.

ARTICLE 5 — TIME AND SCHEDULE

5.1 Time is of the essence for this Subcontract. The Subcontractor shall begin the Subcontract Work within five (5) working days after written notice from the Contractor and shall perform the Subcontract Work in accordance with the Contractor's Project schedule, as updated from time to time.

5.2 The Project is a phased modernization of an occupied school campus. The Subcontractor shall complete all work in Building A during the summer recess period between June 15, 2026 and August 7, 2026, and shall perform work in Buildings B and C only during the phases and hours shown on the Contractor's phasing plan.

5.3 The Subcontractor shall furnish sufficient labor, materials, and equipment to maintain the schedule. If the Subcontractor falls behind schedule for reasons within its control, the Subcontractor shall, at no additional cost, increase its workforce, work additional shifts, or take other measures the Contractor reasonably directs.

5.4 If the Subcontractor is delayed by causes beyond its control and without its fault, it shall give the Contractor written notice within five (5) days after the start of the delay. The Subcontractor's sole remedy is an extension of time equal to the actual delay to the critical path, and any additional compensation only to the extent the Owner pays the Contractor for that delay on the Subcontractor's behalf.

5.5 If the Owner assesses liquidated damages against the Contractor and the delay is attributable in whole or in part to the Subcontractor, the Subcontractor shall bear those damages in proportion to its responsibility.

ARTICLE 6 — PROGRESS PAYMENTS

6.1 On or before the twenty-fifth (25th) day of each month, the Subcontractor shall submit to the Contractor an application for payment covering Subcontract Work performed through the end of that month, itemized according to the Schedule of Values and accompanied by certified payroll records for the period and any other supporting documents the Contractor reasonably requests.

6.2 The Contractor shall incorporate approved amounts from the Subcontractor's application into the Contractor's monthly application to the Owner.

6.3 Pay-When-Paid. The Contractor shall pay the Subcontractor each progress payment within seven (7) days after the Contractor receives payment from the Owner for the Subcontract Work covered by that payment. The Contractor and the Subcontractor agree in writing, by signing this Subcontract, that the Contractor's receipt of payment from the Owner governs the timing of payment to the Subcontractor under this paragraph.

6.4 Each progress payment shall equal the value of Subcontract Work properly completed, as approved by the Contractor and the Owner, less the retainage described in Article 7 and less any amounts withheld under Article 8.

6.5 No Payment for Stored Materials. The Contractor will not pay for materials or equipment stored on or off the Project site that have not yet been incorporated into the Subcontract Work. The Subcontractor shall include materials and equipment in its applications for payment only after they have been installed in place.

6.6 Payment of any application does not constitute acceptance of defective or nonconforming work.

6.7 Final payment, consisting of the unpaid balance of the Subcontract Sum other than retainage, shall be made under paragraph 6.3 after the Subcontractor has achieved Final Completion and delivered all closeout items described in Article 12.

ARTICLE 7 — RETAINAGE

7.1 The Contractor shall withhold retainage of five percent (5%) from each progress payment to the Subcontractor.

7.2 The Contractor shall pay the retainage withheld from the Subcontractor within ten (10) days after both of the following have occurred: (a) Final Completion of the Subcontract Work, and (b) the Contractor's receipt of retention from the Owner.

7.3 Any amount the Contractor is entitled to withhold under Article 8 at the time retainage becomes payable may be deducted from the retainage before payment.

ARTICLE 8 — BACKCHARGES, SETOFF, AND WITHHOLDING

8.1 Backcharges and Setoff. The Contractor may set off against any amount due to the Subcontractor the costs the Contractor incurs because of the Subcontractor's failure to perform, including the cost of cleanup the Subcontractor fails to perform after twenty-four (24) hours' notice, repair of damage the Subcontractor causes to the work of others, supplementation of the Subcontractor's workforce under Article 14, and liquidated damages allocated under paragraph 5.5.

8.2 Before charging the Subcontractor for any backcharge, the Contractor shall give the Subcontractor written notice describing the backcharge and, where practicable, an opportunity of not less than forty-eight (48) hours to perform the work itself. The Contractor shall document each backcharge with time records, invoices, or other reasonable support.

8.3 Withholding for Defective Work. The Contractor may withhold from any payment an amount reasonably sufficient to cover the cost of correcting defective or nonconforming Subcontract Work until the defect is corrected and accepted by the Contractor and the Architect.

8.4 The Contractor shall pay amounts withheld under this Article, less any costs actually incurred, in the next regular payment cycle after the condition giving rise to the withholding has been cured.

ARTICLE 9 — CHANGES IN THE WORK

9.1 The Contractor may, without invalidating this Subcontract, direct additions, deletions, or other changes in the Subcontract Work. The Subcontractor shall not perform any changed or extra work without a written change order or written field directive signed by the Contractor's project manager.

9.2 The Subcontractor shall submit a written proposal for any change within seven (7) days after receiving a request, itemizing labor hours, labor rates, materials, equipment, and markup. Markup for overhead and profit on the Subcontractor's own work shall not exceed fifteen percent (15%), and markup on the work of its lower-tier subcontractors shall not exceed five percent (5%).

9.3 If the Subcontractor believes it is entitled to an adjustment in the Subcontract Sum or time for any reason, it shall give written notice to the Contractor within seven (7) days after the event giving rise to the claim, and in any case in time for the Contractor to give any notice required under the Prime Contract. Claims not submitted within that period are barred.

9.4 Where a change is subject to approval by the Owner or DSA, the Subcontractor's adjustment is limited to the amount the Owner approves for the Subcontract Work, unless the change was initiated by the Contractor for its own convenience.

9.5 Pending resolution of any disputed change, the Subcontractor shall proceed diligently with the work as directed.

ARTICLE 10 — PUBLIC WORKS AND SCHOOL SITE REQUIREMENTS

10.1 The Project is a public work. The Subcontractor shall pay not less than the general prevailing wage rates determined by the Director of Industrial Relations for each craft employed on the Project and shall comply with all applicable apprenticeship requirements.

10.2 The Subcontractor shall maintain current registration with the Department of Industrial Relations throughout the performance of the Subcontract Work and shall ensure that every lower-tier subcontractor is registered before it performs any work on the Project.

10.3 The Subcontractor shall keep accurate certified payroll records and shall submit them electronically to the Labor Commissioner and to the Contractor at the intervals the Contractor directs, but not less than monthly.

10.4 The Subcontractor shall ensure that each of its employees and lower-tier subcontractor employees who will have contact with pupils is screened in accordance with the Owner's fingerprinting and background check procedures before entering the campus, or is continuously supervised as permitted by the Owner.

10.5 The Subcontractor shall comply with the Owner's campus rules, including prohibitions on tobacco, alcohol, firearms, profanity, and inappropriate contact with students, and shall remove from the Project any worker the Owner or the Contractor reasonably finds objectionable.

10.6 The Subcontractor shall cooperate with the Project Inspector of Record, shall give at least forty-eight (48) hours' notice of work requiring inspection, and shall not cover any work before the required inspection is complete.

ARTICLE 11 — INSURANCE AND INDEMNITY

11.1 Before beginning the Subcontract Work, the Subcontractor shall furnish certificates and endorsements evidencing the following insurance, written by insurers rated A- VII or better by A.M. Best:

(a) Commercial general liability insurance on an occurrence basis with limits of not less than $2,000,000 per occurrence and $4,000,000 aggregate, including products-completed operations coverage maintained for three (3) years after Final Completion;

(b) Business automobile liability insurance with a combined single limit of not less than $1,000,000;

(c) Workers' compensation insurance as required by California law and employer's liability insurance with limits of not less than $1,000,000 per accident; and

(d) Umbrella or excess liability insurance with limits of not less than $3,000,000.

11.2 The commercial general liability, automobile, and umbrella policies shall name the Contractor, the Owner, its governing board, officers, employees, and the Architect as additional insureds on a primary and noncontributory basis.

11.3 To the fullest extent permitted by law, the Subcontractor shall defend, indemnify, and hold harmless the Contractor, the Owner, and their respective officers, directors, agents, and employees from all claims, damages, losses, and expenses, including reasonable attorneys' fees, arising out of or resulting from the performance of the Subcontract Work, to the extent caused by the negligence, recklessness, or willful misconduct of the Subcontractor, its lower-tier subcontractors, or anyone for whom they are responsible. This obligation does not

extend to claims arising from the active negligence or willful misconduct of an indemnified party, or to defects in design furnished by an indemnified party.

11.4 The Subcontractor shall furnish payment and performance bonds, each in the full amount of the Subcontract Sum, issued by a California-admitted surety acceptable to the Contractor, within ten (10) days after the Effective Date.

ARTICLE 12 — WARRANTY AND CLOSEOUT

12.1 The Subcontractor warrants that all materials and equipment furnished will be new unless otherwise specified, of good quality, and free from defects, and that the Subcontract Work will conform to the Contract Documents.

12.2 The Subcontractor shall correct any defective Subcontract Work discovered within one (1) year after the Owner's acceptance of the Project, or within any longer period required by the Contract Documents or by a manufacturer's warranty, promptly after written notice and at no cost to the Contractor or the Owner. Compressors in packaged rooftop units carry a five (5) year manufacturer's warranty, which the Subcontractor shall obtain and transfer to the Owner.

12.3 Before Final Completion, the Subcontractor shall deliver to the Contractor: (a) two printed sets and one electronic set of operation and maintenance manuals; (b) record drawings showing the as-built location of all concealed ductwork, piping, valves, and dampers; (c) the final, approved testing, adjusting, and balancing report; (d) all manufacturers' warranties; (e) signed training attendance records; and (f) the Subcontractor's verified reports and other documents required by DSA for the Subcontract Work.

ARTICLE 13 — SAFETY, SITE CONDITIONS, AND CLEANUP

13.1 The Subcontractor is responsible for the safety of its employees and its lower-tier subcontractors and shall comply with Cal/OSHA regulations and the Contractor's site safety program. The Subcontractor shall maintain a written Injury and Illness Prevention Program and shall conduct weekly toolbox safety meetings.

13.2 The Subcontractor shall designate a competent person on site at all times when its forces are working and shall report every injury or property damage incident to the Contractor's superintendent on the day it occurs.

13.3 The Subcontractor shall not disturb any material suspected to contain asbestos, lead, or other hazardous substances. If such material is encountered, the Subcontractor shall stop work in the affected area and notify the Contractor immediately.

13.4 The Subcontractor shall keep its work areas clean, remove its debris daily to containers designated by the Contractor, and protect its installed work and the work of others from damage.

13.5 Rooftop equipment lifts over occupied buildings shall take place only on non-school days and only under a lift plan submitted to the Contractor at least five (5) working days in advance.

ARTICLE 14 — DEFAULT AND TERMINATION

14.1 If the Subcontractor fails to supply sufficient skilled workers or proper materials, fails to maintain the schedule, fails to make prompt payment to its lower-tier subcontractors or suppliers, disregards laws or the Contractor's directions, or otherwise materially breaches this Subcontract, the Contractor may give written notice

of default. If the Subcontractor does not begin to cure the default within three (3) working days after the notice and diligently complete the cure, the Contractor may, without prejudice to any other remedy:

(a) supplement the Subcontractor's workforce and charge the cost to the Subcontractor; or

(b) terminate this Subcontract in whole or in part, take possession of materials on site, and complete the Subcontract Work by any reasonable means.

14.2 If the cost of completing the Subcontract Work after a termination for default exceeds the unpaid balance of the Subcontract Sum, the Subcontractor and its surety shall pay the difference to the Contractor.

14.3 The Contractor may terminate this Subcontract for convenience on written notice if the Owner terminates the Prime Contract or for any other reason. In that event, the Subcontractor shall be paid for Subcontract Work properly performed through the date of termination, plus reasonable demobilization costs, but not anticipated profit on work not performed.

14.4 If the Contractor wrongfully terminates for default, the termination shall be treated as a termination for convenience.

ARTICLE 15 — DISPUTE RESOLUTION

15.1 The parties shall attempt in good faith to resolve any dispute through meetings between their senior project personnel within fourteen (14) days after either party gives written notice of the dispute.

15.2 Disputes involving acts, omissions, or responsibilities of the Owner shall be resolved under the dispute resolution procedures of the Prime Contract. The Subcontractor agrees to be bound by the outcome of those procedures to the same extent as the Contractor. The Contractor shall present the Subcontractor's claims to the Owner, at the Subcontractor's expense, and the Subcontractor shall cooperate fully in that process.

15.3 Disputes solely between the Contractor and the Subcontractor that are not resolved under paragraph 15.1 shall be submitted to non-binding mediation in Sacramento County. If mediation fails, either party may bring an action in the Superior Court of California, County of Sacramento.

15.4 The Subcontractor shall continue to perform the Subcontract Work and maintain the schedule during any dispute.

ARTICLE 16 — GOVERNING LAW AND GENERAL PROVISIONS

16.1 This Subcontract is governed by the laws of the State of California, without regard to its conflict of laws principles.

16.2 The Subcontractor shall not assign this Subcontract or subcontract any portion of the Subcontract Work without the Contractor's prior written consent. The Subcontractor shall list all lower-tier subcontractors as required by the Subletting and Subcontracting Fair Practices Act and shall not substitute any listed subcontractor except as that Act permits.

16.3 Notices under this Subcontract shall be in writing and delivered in person, by overnight courier, or by email with confirmation of receipt, to the addresses stated in the preamble or to another address a party designates by notice.

16.4 The Subcontractor is an independent contractor. Nothing in this Subcontract creates a partnership, joint venture, or employment relationship between the parties.

16.5 If any provision of this Subcontract is found unenforceable, the remaining provisions shall remain in full force, and the unenforceable provision shall be applied to the maximum extent the law allows.

16.6 This Subcontract, together with the Contract Documents, is the entire agreement between the parties concerning the Subcontract Work and supersedes all prior proposals, negotiations, and understandings. The Subcontractor's bid proposal dated December 9, 2025 is not part of this Subcontract except to the extent expressly incorporated in Article 2. This Subcontract may be amended only by a written document signed by both parties.

16.7 The Contractor's failure to insist on strict performance of any provision of this Subcontract on one occasion does not prevent the Contractor from insisting on strict performance of that provision or any other provision on a later occasion.

16.8 This Subcontract may be signed in counterparts and by electronic signature, each of which is considered an original.

IN WITNESS WHEREOF, the parties have signed this Subcontract as of the Effective Date, and each signatory represents that he or she is authorized to bind the party for which he or she signs.

HARBOR POINT CONSTRUCTION, INC.

By: _____ Name: Marisol A. Trevino Title: Vice President of Operations Date: February 2, 2026

DELTA MECHANICAL SYSTEMS, LLC

By: _____ Name: Gregory D. Halvorsen Title: Managing Member Date: February 2, 2026

EXHIBIT — SCHEDULE OF VALUES

Item	Description	Specification Section	Scheduled Value
1	Mobilization, submittals, and coordination drawings	23 05 00	$18,500.00
2	Demolition and disposal of existing HVAC systems, Buildings A–C	23 05 00	$31,000.00
3	Packaged rooftop units, curbs, and seismic restraints, installed	23 74 13	$142,000.00
4	Crane service and rigging	23 74 13	$14,500.00
5	Metal ductwork and accessories	23 31 13	$78,000.00
6	Diffusers, registers, and grilles	23 37 13	$16,000.00
7	Hydronic piping and specialties	23 21 13	$36,000.00

8	HVAC insulation	23 07 00	$22,000.00
9	Direct digital control system	23 09 23	$41,000.00
10	Testing, adjusting, and balancing	23 05 93	$13,500.00
11	Startup, commissioning support, and owner training	23 05 00	$9,000.00
12	Closeout documents, record drawings, and DSA documentation	23 05 00	$6,500.00
	****Total Subcontract Sum****		****$428,000.00****